

INS-004 · SOURCING STRATEGY

In-house vs. specialists: what to buy, what to build, and when to switch | HGF Management Company | July 2026

Which functions Dennis should buy, which he should build, and when to switch.

Prepared for Dennis Lanni | HGF Management Company | July 2026

Status: working recommendation. Companion to INS-003. Vendor selection and contract terms need real quotes; no fee figures below are quoted because none were verifiable this run.

The short version

Neither pure answer is right. Split every function through three rules:

1. **Never in-house** anything whose value comes from independence: bond counsel opinions, MAI appraisals, title and escrow. INSITE manages the panel; it must not be the panel.
2. **Buy once, own the product** for one-time design work: the RMA template, Unanimous Approval form, local goals and policies drafts, boundary and future annexation map templates, note documents. Pay top specialists for the pilot set, written issuer-neutral, with INSITE holding reuse rights.
3. **Contract first, insource deliberately** for the recurring engine: annual administration (levy calculation, county roll submission, delinquency tracking, reporting). Start with a specialist firm under a contract built for transition, then bring it in-house on defined triggers. This stream is INSITE's compounding revenue, so it must come home, but not before the first closes.

In-house from day one, because it is the actual business: program design, intake and underwriting, zone exhibit generation from the workbook, pipeline and relationship management, funding coordination, brand and materials.

Why even governments outsource this

The strongest evidence for contracting the specialist layer is that the public agencies themselves do it:

- The **City of San Diego** directs all prepayment and appeal questions to "the City's CFD Administrator/Special Tax Consultant, NBS Government Finance Group."
- The **City of Vacaville** routes CFD formation and annexation applications "to the City's CFD administrators at NBS."
- **Union City** pays its consultant NBS to place special taxes on the county roll and handle reporting.
- **Temecula Valley Unified School District's** CFD names "SDFA as the Special Tax Consultant and CFD Administrator to the District in conjunction with District staff."
- The **ABAG Finance Authority** (a JPA) has its CFD administration reports prepared by an outside consulting firm.

If cities, school districts, and JPAs with permanent finance staff still contract this work, a startup administrator claiming to self-perform everything on deal one reads as risk to the two audiences that matter most: the city council and the note purchaser. In year one, INSITE is partly buying names to stand next to.

Two more structural facts shape the economics:

- **Administration costs are recoverable through the special tax.** The Act (Section 53317(d), as cited in district compliance reports) defines administrative expenses to include the fees of the special tax consultant, legal counsel, and other consultants, and districts are entitled to recover formation and administration costs through the levy. Outsourcing early therefore does not wreck deal economics; the cost passes through the Special Tax Requirement. The in-house question is about margin capture and control, not about who eats the cost.
- **A local goals and policies document is required before formation** (Section 53312.7). It is a one-time buy-once artifact on the same list as the RMA template.

Function-by-function table

Function	Day one	End state	Why
Bond counsel opinions	Outside firm	Outside, always	Opinions only carry weight from recognized independent counsel
MAI appraisal	Outside panel (INS-101/102)	Outside, always	Independence is the product; INSITE manages, never performs
Title, escrow, recording	Outside	Outside, always	Same principle
RMA template + Unanimous Approval + policies	Special tax consultant drafts, INSITE specifies	Owned template, consultant retained for amendments	One-time design; credibility purchase; reuse is where cost drops
Boundary / future annexation maps	Consultant or surveyor	Template + surveyor per city	Recorded documents, professional stamp
Zone exhibit per annexation	INSITE generates from workbook, consultant reviews	INSITE generates, spot audit only	This is the cost lever behind the \$5K-\$30K target
Annual levy calc + county roll files	Contracted administrator with shadow clause	In-house on triggers below	The recurring revenue engine; must come home
Delinquency monitoring	Contracted with administrator	In-house with counsel on foreclosure	Follows the levy function
Investor reporting	INSITE, from administrator data	In-house	Owning the purchaser relationship is non-negotiable
Underwriting, intake, pipeline, funding coordination	INSITE	INSITE	The company itself

The insourcing plan for administration

Phase A (pilot through roughly the first two levy cycles): contract a specialist administration firm. Negotiate into the contract now: (1) INSITE staff shadow rights and documented county file formats; (2) parcel database export rights at any time; (3) transition assistance obligation; (4) fixed per-zone pricing for small zones; (5) named-personnel continuity; (6) INSITE ownership or perpetual license of templates and calculation workbooks produced for the program.

Phase B trigger, insource when all four hold: (a) roughly ten or more active zones, or per-zone consultant fees exceeding the loaded cost of a dedicated hire plus software; (b) INSITE has parallel-run the levy for two full cycles with zero unexplained variances against the consultant's numbers; (c) county submission formats and calendars are documented for every active county; (d) a qualified administrator is hired. The retired Sacramento County CFD staff contact is the natural bridge: advisor in Phase A, first hire or trainer in Phase B. Keep the outside consultant on a small retainer afterward for peer review and appeals.

What Dennis personally should not spend year one building: levy software, county file-format plumbing, or the RMA itself. His scarce hours convert best into city adoption, the capital partner, and pipeline. Every hour spent duplicating a \$10-an-hour-equivalent consultant task is an hour not spent on the three things only he can do.

Sources

- San Diego (NBS as CFD Administrator/Special Tax Consultant): <https://www.sandiego.gov/finance/debtmanagement/districts/faq>
- Vacaville (annexation applications to NBS; annual administration scope): <https://www.cityofvacaville.gov/government/finance/community-facilities-districts>
- Union City (NBS places levy on roll, reporting): <https://www.unioncityca.gov/DocumentCenter/View/14065/7-Staff-Report---Budget-Study-Session-4---Other-Funds-Budgets-Contd-6-3-25>
- TVUSD CFD 2021-1 (SDFA as Special Tax Consultant and CFD Administrator; Section 53317(d) administrative expense recovery including consultants): <https://specialdistricttransparency.com/wp-content/uploads/2025/01/TVUSD-CFD-2021.1-SB165-Report-FY23.24-Final.pdf>
- ABAG FAN CFD consultant-prepared administration report: https://abag.ca.gov/sites/default/files/documents/2026-04/mint_plaza_admin_report_2025_final.pdf
- Cost recovery of formation and administration; Section 53312.7 goals and policies requirement: <https://sjvcogs.org/funding-and-financing/mello-roos-community-facilities-district-cfd/>
- Administrative burden and reliance on specialized consultants: <https://www.civicmic.com/introduction-to-bonded-community-facilities-districts/>

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